CORPORATE REPORTING **March-April 2023**

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. Your firm is currently providing accounting service to Luminous Chemicals Limited (Luminous). As part of the engagement, it is your firm's role to prepare or collect the individual subsidiary/associate's financial statements and based on these, prepare the consolidated financial statements. Your firm has assigned you to prepare the consolidated financial statements and perform necessary adjustments on the draft financial statements received from Luminous subsidiaries and associates.

   Luminous is a pharmaceuticals company operating in Dhaka, Bangladesh. It is dependent on import of raw materials. In order to increase control over raw material supply and reduce irrelevant inventory costs, Luminous had acquired 80% shares of Glory Chemicals Limited (Glory) which manufactures and imports the medicine raw materials. Primary objective of Glory is to ensure availability of raw materials to Luminous first and then it may sell excess quantity to other companies. Luminous has also set up Asian Pharma Limited (Asian), a joint venture company in China. Asian manufactures medicine and medicine raw materials and export them to European and African countries. You have received following draft financial statements from both Luminous, Glory and Asian for the year ended on 31st December 2022 which includes some additional information.

Statement of Financial Position	**Luminous** BDT	**Glory** BDT	**Asian** RMB
Assets			
Non-Current Assets			
Property, Plant & Equipment	11,174,700	13,341,300	332,994
Intangibles assets	1,727,300	1,222,378	21,432
Right of use Asset		4,539,172	
Investments including subsidiaries & JV	10,450,000	-	-
	23,352,000	**19,102,850**	**354,426**
Current Assets			
Inventories	4,943,400	4,840,500	89,013
Trade & Other Receivables	3,672,900	1,654,800	76,684
Advance, Deposits & Prepayments	2,001,300	1,316,700	-
Cash & Cash Equivalents	1,547,700	249,900	4,606
	12,165,300	**8,061,900**	**170,303**
Total Assets	**35,517,300**	**27,164,750**	**524,729**
Equity and liabilities			
Equity			
Share capital	4,725,000	7,500,000	100,000
Retained earnings	22,911,000	10,007,700	101,742
	27,636,000	**17,507,700**	**201,742**
Non-current liabilities			
Lease liabilities	-	2,261,800	-
	-	**2,261,800**	**-**
Current liabilities			
Lease Liabilities (non-current)	-	1,820,600	-
Trade & other payables	4,225,200	2,137,800	136,155
Provision for expenses	1,871,100	2,043,300	135,484
Taxation	1,785,000	1,393,550	51,348
	7,881,300	**7,395,250**	**322,987**
Total equity & liabilities	**35,517,300**	**27,164,750**	**524,729**

Statement of Financial Performance	Luminous BDT	Glory BDT	Asian RMB
Revenue	42,620,760	29,647,296	625,912
Cost of revenue	(23,441,418)	(20,160,161)	(341,074)
Gross Margin	**19,179,342**	**9,487,135**	**284,838**
Administrative expenses	(13,041,953)	(7,589,708)	(185,754)
Other income	2,160,000		
Finance cost	-	(936,775)	
Tax expenses	(3,068,695)	(398,460)	(32,271)
Net profit	**5,228,694**	**562,192**	**66,813**
Other comprehensive income	-	-	-
Total comprehensive income	**5,228,694**	**562,192**	**66,813**

Additional information:

i) Luminous acquired 80% of Glory's ordinary shares on 1 January 2018 for total cash consideration of BDT 8,800,000. On the date of acquisition, retained earnings on Glory's retained earnings was BDT 950,000. Luminous used proportionate method while calculating the non-controlling interest and goodwill from acquisition of Glory.

ii) Luminous went into a joint venture (JV) with a Chinese company and set up Asian Pharma Limited on 01 July 2020. Luminous subscribed 50% shares on formation. On 31 December 2022 Luminous has transferred its entire share to its JV counterpart for an amount of RMB 140,000.

iii) On 01 January 2022, Glory has rented a production facility from Luminous for a monthly fee of BDT 180,000. Luminous has reported the rental income as other income whereas Glory has reported right-of-use assets and lease liabilities in relation to the lease. During the year glory incurred depreciation of right-of-use assets for BDT 766,453 and finance cost of BDT 936,775.

iv) During the year, Glory sold total raw materials worth of BDT 15,416,595 out of which BDT 2,166,640 remains unused at Luminous inventory. Glory normally makes at 30% margin from such sales.

v) Trade payable reported by Luminous includes payable to Glory for BDT 1,560,000 as on the reporting date.

vi) Exchange rate of RMB to BDT was 12 Taka on 01 July 2020 and 15.5 Taka on 31 December 2022.

Requirements:

Prepare the consolidated statement of financial position and Consolidated statement of profit or loss of Luminous Chemicals Limited as of 31 December 2022. 20

2. Bubble Limited (Bubble), a company listed in the stock exchanges, is currently having difficulties in retaining its employees. In order to increase employee motivation and retention, the board of directors has announced share option scheme on 01 January 2021. Under these schemes, it has offered each of its 2,500 employees either equivalent cash value of 300 shares options now or 900 share options if they remain employed till 31 December 2023.

   It had recently recruited 10 senior executives on 01 January 2021 who were also given separate share option scheme. Under this scheme, each of these 10 senior executives will receive 5,000 shares options based on following conditions:

   - Share price should increase by 20%.
   - Profit should increase by 12% in a year or by an average of 12% in any two years.
   - If the conditions are not met by the end of 4th year, only 30% options will vest.

   Each share option can be exchanged for 1 share. Fair value of share options is 34 Taka on the grant date and expected to increase by 2 Taka per year. Current market price per share is 25 Taka. It is prohibited for the company to acquire its own share. Bubble will have to issue new shares if any shares are vested.

By 31 December 2021, 500 employees and 2 Senior executives left Bubble and it was expected that further 500 employees and 1 Senior executive will leave. Bubble share price increased by 7% and profit increased by 9% since options were granted. Bubble forecasts that it will not be able to meet average of 10% average profit and 20% share price target by 31 December 2022.

On 31 December 2022, Bubble calculated that total of 950 employees and 4 Senior executives left since the options were granted. Bubble estimate that total of 1,250 of the employees and 4 senior executives who were granted options will leave bubble. On the same date, bubble reported profit increase of 10% and increase of share price of 8%. It expects that by 31 December 2023 it will be able to meet both share price and profit target.

Bubble's share price is linked with its profit. In order to ensure achievement of profit target and thereby the share price target, Bubble's CFO Mr. Khan has taken few cost cutting initiatives including downsizing staff headcount by forcing them to resign. These includes some of the employees who have been granted share options. Mr. Khan also asked company accountant to increase the useful life of assets. This lead to decrease in admin expense and increase profit.

Requirements:

a) How should Bubble account for the share options when employees will select equivalent cash value options? 2

b) Considering all employees select the option, how should the scheme be measured and recognized under IFRS? Set out the journal entries required for all the years. 6

c) Show the accounting treatment under IFRS for the scheme offered to the senior executives based on current projections. 4

d) Consider that the profit and share price target were not met by the end of 3rd year, what would be the impact in Bubble's financial statements? 3

e) Discuss the ethical issues involved and actions Bubble should take. 5

3. Angel Investments Company Limited (AICL) is planning to diversify its business. It is currently considering investing between two companies. First option is Urban Fashions Limited (Urban) which produces and supplies readymade garments to local apparel brands. It purchases its raw materials from local companies and sells to the local branded apparels stores. Second investment option is Charming Apparels Limited (Charming) which is a 100% export-oriented company. It imports raw material from customer nominated suppliers and delivers as per customer demand. It has received financial statements from both companies for the year ended 31 December 2021. AICL has reviewed the financial statements and identified the following matters:

- Urban received BDT 200,000 as advance against shares it is going to be issued. It has reported the amount in contract liabilities.
- Urban has been facing problem on properly maintaining the order received, quantity delivered and outstanding delivery requirements. It has spent BDT 120,000 for researching a suitable solution and spent further BDT 180,000 in developing a Customer Oder Management System (COMS) which is currently in testing phase. This has been reported in the financial position as financial assets.
- Due to significant exchange rate fluctuation, Charming is expecting to pay higher amount compared to original liability. Due to loss arising from excess payment is still unrealized at the year end, Charming has reported the loss in other comprehensive income.
- Charming has received a claim of BDT 1,200,000 from authority for unpaid VAT liabilities. Charming's tax and legal team is currently reviewing the claim. Till the year end Charming has not agreed with the claim amount and has not recorded any liabilities for the unpaid VAT.
- In order to promote export business, government has been offering export incentives. For the export business, Charming is eligible for 1% cash incentive. However, receipt of these incentives is subject to audit clearance. Charming has recognized the amount as trade receivable and reported in other income.

AICL has received following unaudited financial statements from Urban and Charming for initial discussion on investment analysis. You have been asked to perform initial analysis on these financial statements before AICL makes an investment decision.

Statement of Profit or Loss and Other Comprehensive Income
For the year ended 31 December 2021

	Urban	Charming
Revenue	16,252,000	23,640,000
Cost of revenue	(7,540,000)	(11,638,000)
Gross Profit	**8,712,000**	**12,002,000**
Administration expenses	(4,500,000)	(8,300,000)
Other income	-	236,400
	4,212,000	**3,938,400**
Selling & distribution expenses	(1,112,000)	(1,151,000)
Profit before interest & taxes	**3,100,000**	**2,787,400**
Finance expenses	(118,000)	(13,000)
Profit before taxation	**2,982,000**	**2,774,400**
Current tax expenses	(32,000)	(28,000)
Net profit for the year	**2,950,000**	**2,746,400**
Other comprehensive income	-	(251,000)
Total comprehensive income	**2,950,000**	**2,495,400**

Statement of Financial Position
For the year ended 31 December 2021

	Urban	Charming
Non-current assets		
Property, plant and equipment	9,102,000	4,609,000
Financial assets	370,000	217,000
	9,472,000	**4,826,000**
Current assets		
Inventories	1,253,000	2,575,000
Trade receivables	468,000	5,455,000
Cash and cash equivalents	353,000	9,170,000
Other current assets	445,000	149,000
	2,519,000	**17,349,000**
Total assets	**11,991,000**	**22,175,000**
Equity		
Share capital (Face value 10 Taka)	2,342,000	2,021,000
Retained earnings	6,347,000	3,453,000
Reserve for comprehensive income	-	(251,000)
	8,689,000	**5,223,000**
Non-current liabilities		
Financial liabilities	1,000,000	8,200,000
	1,000,000	**8,200,000**
Current liabilities		
Contract liabilities	610,000	1,144,000
Trade & other Payable	644,000	6,581,000
Short term loan	858,000	-
Tax payable	32,000	27,000
Other current liabilities	158,000	1,000,000
	2,302,000	**8,752,000**
Total equity & liabilities	**11,991,000**	**22,175,000**

Requirements:

a) Perform an overall analysis on the unaudited financial statements of Urban and Charming considering the matter AICL has identified. 15

b) Determine the earnings per share of both companies based on the revised financial statements. 3

c) Based on your analysis, suggest management of AICL which company is more suitable for investment. 2

4. You are an audit manager in Shymal Das, Kibria & co. and currently in-charge of audit of Fine Vehicles Group Limited (the group) for the year ended at 31 December 2022. This is a new client to your firm and engagement partner gives utmost priority to this client. The group produces and distributes motor cycle, three wheeler, sedan car, SUVs etc. It has manufacturing plants and sales centers in Dhaka, Narayanganj, Savar, Gazipur, Sylhet and Khulna. During later part of 2022 (September), it has acquired a new plant at Chattogram from another vehicle Company. Each plant and sales center operates through separate legal entity and the Group owns all entities entirely. The group had reported total revenue of BDT 270 million for 2022 which was BDT 240 million in 2021 and operating profit of BDT 25.5 million in 2022 (BDT 33 million in 2021).

You had a meeting with CEO and Finance Director of the Company and noted the following points:

- Each plant has a finance team who sends their monthly separate financials to head office, and the group finance controller reviews them and prepares consolidated accounts on quarterly basis. However, currently the position is vacant as the last controller resigned in November 2021. Finance director is asking whether your firm can help to prepare consolidated financial statements for the year ended 31 December 2022 as current team may not be able to do it on time and with accuracy.
- The group acquired a new plant in Chattogram in September 2022 for BDT 25.5 million. This will be included in consolidated financial statements of 2022. The entire amount is financed by a foreign bank for 5 years and the group must adhere to strict loan covenants; breach of any can make the bank to call back the loan. The bank requires the group to provide management accounts on quarterly basis. Finance Director has admitted that they are also struggling to provide management accounts to bank for the quarter ended December 31, 2022.
- CEO of the group invited full audit team to travel to Chattogram in March 2023 for grand opening of its Chattogram Plant as his guests. He also ensured that the team will be well taken care while there.
- The group's policy is to value land and buildings of plants and sales centers at fair value. CEO of the group confirmed that experts were appointed to value land and buildings at 31 December 2022. Land and buildings at that date were valued at BDT 330 million, representing a revaluation increase of BDT 36 million.
- During the year, a new bonus scheme was introduced for both managers and directors in order to increase revenue. The bonus is directly linked to revenue.

Requirements:

a) Draft a memo to the audit partner that outlines (including reasons thereof) key audit risks areas in respect of Fine Vehicles Group, and recommend an appropriate approach to test each highlighted risk. 12

b) Describe the additional audit procedures required in relation to engaging the services of a property expert to value Land and Buildings. 4

c) Prepare an email to the audit partner assessing any ethical concerns an auditor should have in respect of the Group audit engagement and recommend appropriate safeguards. 4

5. Miratex Limited (Mira) is a garments manufacturing company. Your firm has been appointed as auditor of the financial statements for the year ended 31 December 2022 and you have been assigned as engagement manager. Prior year financial statements were audited by a predecessor auditor who have expressed a qualified audit opinion on inventory valuation due to non-performance of NRV testing. Karim is the finance manager at Mira who has prepared and shared the draft financial statements with the audit team. Your team members have brought the following matters to your attention and sought your instruction.

i) Management of Mira has leased a vacant land at Gazipur for 30 years at BDT 225,000 per month and started construction of a new factory building from 01 January 2020. Construction of the building has been completed on 31 October 2022, but machineries have not been installed yet. Therefore, management has reported total cost of the building of BDT

184,059,244 as 'Construction Work in Progress'. An analysis of the cost revealed the following matters:

- Cost includes depreciation of Right-of-Use asset for BDT 9,448,189 and interest expense on lease liabilities BDT 15,425,930 in relation to leased land.
- Construction of the plant was suspended for 8 months in 2021 due to Covid-19. During the suspended period Mira received 50% rent concession for 6 months. Mr. Karim reported entire rent as construction cost and the concession amount as other payable.
- During the current financial year, Mira let out the under-construction site for 6 months to another company as a temporary warehouse which earned Mira BDT 25,000 per month. Mr. Karim reported the amount as other income.
- 20% of depreciation of ROU Asset and interest on lease liabilities for leased land are related to construction suspended period.
- Due to error in design, top floor of the factory building had to be demolished and reconstructed. Mira spent BDT 7,500,000 for initial construction and BDT 2,500,000 in demolition. It further spent BDT 9,500,000 to reconstruct the top floor.

Your team members are not sure whether the CWIP has been reported in line with IFRS.

ii) Mira generates around 60% revenue by exporting. Quantity of goods and selling rates are predetermined in the sales contracts with customers. Mira recognizes revenue and invoices customers in USD. On 01 December 2022, Mira received an urgent request from one of the customers to deliver 25,000 pieces of shirts by 15 January 2023 and received USD 75,000 as 100% advance against the deal. Mira was able to deliver 5,000 pieces of shirts on December 10 and further 10,000 pieces on 26 December. Accordingly, it recognized revenue for USD 45,000. During the month of December Mira generated to total export sales of USD 65,000 including the sales against advance. General practice of the company is to recognize the export revenue on average rate. At the year-end Mira reported outstanding foreign currency receivables of USD 172,000 and contract liabilities (advance from customers) of USD 30,000. USD to BDT exchange rates for the month of December 2022 were:

01 December - 105/$	10 December - 107/$	Avg. monthly rate - 104/$
26 December - 102/$	31 December - 103/$	

Mira reported the outstanding receivables and contract liabilities at closing rate. Audit team members having doubts whether revenue and contract liabilities has been stated correctly.

iii) Your team members shared a workpaper in relation to advance & prepayment which shows that team selected an advance payment to supplier for testing. Advance was paid in July 2022 and remains unadjusted at the reporting date. Team members requested for copy of payment instrument which was not available with the finance team. However, finance team traced the advance payment transaction from bank statements which shows date of transaction and the cheque number used for payment. Your team members concluded that audit procedures and evidence obtained are satisfactory and no exception was noted after performing the audit procedures.

Requirements:

a) Explain the audit procedures you need to perform as per ISA for the initial audit. 3

b) Analyse the component of CWIP with relevant IFRs and determine the amount to be reported in the financial statements. 7

c) Develop the audit strategy for testing the audit assertions related to CWIP. 3

d) Explain to your team member whether revenue and contract liabilities has been reported correctly. 4

e) Evaluate the sufficiency of audit procedures and evidence for advance & prepayment. Describe whether additional procedures need to be performed. 3

---The End---